

August 7, 2026 07:13 AM GMT

Internet | North America

The Bottom Line on ABNB, CART and LYFT

WHAT'S CHANGED

Instacart (CART.O)	From	To
Price Target	\$52.00	\$58.00

ABNB's and CART's platform improvements (partially driven by GenAI) are delivering growth and profitability... while LYFT is seemingly having to spend for growth.

ABNB: Acceleration Station: ABNB's 2Q room nights/Adj. EBITDA were 2%/1% better than expected as nights booked benefited from continued improvements to the platform across hosted inventory, user experience/interface and payment optionality... further supported by underlying strength in macro leisure travel demand. The double-digit 2Q nights growth is the fastest since 4Q:24 (when the room night base was ~20% smaller). Further, 3Q forward nights guidance (LDD% growth) implies stable-to-accelerating growth, which is notable as the room night compare is ~100bps more difficult. On competitive dynamics, this marks the third-straight quarter ABNB grew nights faster than its OTA peers (see [Exhibit 1](#))... and from a regional perspective, N. America and EMEA accelerated to the HSD% and APAC/Latam continue to display differential growth (albeit off a smaller base, combined about ~30% of the room night base). Accelerating room nights (+LDD% growth vs. us at HSD%) and ADR strength (+MSD-HSD% growth) is flowing through to revenue and Adj. EBITDA too as the company raised its full-year revenue/EBITDA margin guidance to "at-least" mid-teens % growth (vs. us at 14% growth) and at least 35.5% margins (vs. us at 35% margins). We have been UW ABNB on the thesis that the company's top- and bottom-line earnings growth algos were not enough to justify its multiple premium vs. peers. **The company's 2Q numbers/3Q guidance show the company's growth algo is accelerating/changing (for now) and warrants a re-evaluation of the durability of this growth and multiple.** Our model is under review.

Exhibit 1: OTA Regional Room Night Growth Trends:

	ABNB					BKNG					EXPE				
	2025	3Q25	4Q25	1Q26	2Q26	2025	3Q25	4Q25	1Q26	2Q26	2025	3Q25	4Q25	1Q26	2Q26
US/N.America	3%	5%	5%	7%	8%	2%	7%	10%	13%	8%	3%	8%	7%	5%	3%
Europe/EMEA	5%	5%	9%	4%	7%	8%	7%	9%	6%	5%	5%	10%	10%	3%	3%
APAC	15%	15%	15%	17%	17%	10%	10%	10%	8%	5%	N/A	N/A	N/A	N/A	N/A
ROW/LatAm	19%	21%	19%	19%	20%	9%	10%	8%	-2%	4%	15%	17%	11%	10%	11%
Total	7%	9%	10%	9%	10%	8%	8%	9%	6%	5%	7%	11%	9%	6%	6%

Source: Company data, Morgan Stanley Research estimates

CART: Strong and Healthy Growth... Bull Case in Play?: CART's results and guidance were better than expected, driven by healthy growth in orders/AOV. More specifically, net-new users and spend per user are driving the order/AOV strength that is leading to healthy low-to-mid teens GTV growth. **We believe this strength in user growth and spend per user is a notable indicator of a healthy and growing online grocery market.** Turning to results and guidance, 2Q GTV/Adj. EBITDA was 1%/1% better than us and above the high end of the guide and the top end of 3Q

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INTERNET

North America

Industry View

Attractive

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

GTV/Adj. EBITDA guide was 3%/3% better than us. CART is continuing to develop its AI assistant, which uses CART's data on customer preferences, recent purchase history, and item availability in nearby stores to recommend product pairings and shoppable recipes. While still in early stages, we're encouraged by initial positive signals: orders placed with the AI assistant are on average higher than total CART AOV, customers are using the tool for discovery, planning, and purchasing, and the product is being rolled out across North America in coming weeks. We raise '27 GTV/Adj. EBITDA 1%/2% and raise our \$58 PT (~15% upside). Our PT is derived using an ~8X target multiple on an average of '27/'28 Adj. EBITDA of ~\$1.6bn. On a growth-adjusted basis, our \$58 PT implies CART trades at a ~0.6X growth-adjusted Adj. EBITDA multiple, a ~30% discount to CART's peer median growth-adjusted multiples. **We remain EW, but with a positive bias given CART's undemanding valuation, steady (and improving performance) and agentic AI call optionality.** Our \$70 bull case comes into play to the extent to which CART is able to drive durably faster user/subscriber growth and/or showcase how GenAI tools are enabling faster platform GTV and EBITDA growth.

Exhibit 2: We raise our PT to \$58 and derive it using an ~8X target multiple on an average of '27/'28 Adj. EBITDA of ~\$1.6bn...

CART Valuation			
(\$mn)	Bear	Base	Bull
'27/'28 Adj. EBITDA:	\$1,396	\$1,623	\$1,719
(X) EV/EBITDA	5X	8X	9X
(=) Enterprise Value:	\$7,084	\$12,170	\$14,820
Less: Net Debt (2Q27)	(\$653)	(\$653)	(\$653)
(=) Equity Value:	\$7,736	\$12,822	\$15,473
/ Shares (2Q27)	221	221	221
Price/Share	\$35	\$58	\$70
Upside/(Downside) %	(29%)	17%	41%
Implied '27 EV/EBITDA	5X	8X	9X
Implied '27 P/E	13X	18X	20X
Implied '28 P/E	12X	14X	15X

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: ... on a growth-adjusted basis, our \$58 PT implies CART trades at a ~0.6X growth-adjusted Adj. EBITDA multiple, a ~30% discount to CART's peer median growth-adjusted multiples:

Peer Set	EV/'27 EBITDA	EV/'28 EBITDA	'26-'28 EBITDA CAGR	EBITDA to Growth
ABNB	15X	14X	8%	2.0X
BKNG	13X	11X	11%	1.2X
DASH	19X	15X	28%	0.7X
UBER	10X	8X	23%	0.4X
EXPE	8X	7X	12%	0.6X
LYFT	7X	6X	17%	0.4X
Median	11X	10X	15%	0.8X
CART Current	8X	7X	15%	0.5X
Premium/(Discount) to Median				(30%)

	EV/'27 EBITDA	EV/'28 EBITDA	'26-'28 EBITDA CAGR	EBITDA to Growth
CART @ \$52 PT	8X	7X	15%	0.6X
Premium/(Discount) to Median				(27%)

Source: Company data, Morgan Stanley Research estimates

LYFT: Organic Growth Wanted: LYFT's active riders (an important leading indicator of platform growth) were 2% lower than expected and 2Q EBITDA was in line despite 3% better-than-expected bookings. S&M expense was meaningfully higher than expected (40% above our estimates) as the company appears to be marketing/promoting more aggressively to fend off competitive pressures and grow, while G&A also came in ahead of our estimates by 16%. This, in our view, speaks to LYFT's continued need to invest to grow active riders, rides, and its platform. On the positive side, the top end of 3Q gross bookings/adj EBITDA guide was 3%/10% ahead of us, but in our view **in order to garner a higher multiple Lyft will need to showcase how it can grow riders/rides organically and overcome the long-term AV multiple uncertainty impacting the rideshare sector.**

Exhibit

Exhibit 4: CART Changes to Our Estimates

in \$ millions (ex EPS)	2026 Prior	2027 Prior	2028 Prior	2026 Current	2027 Current	2028 Current	2026 Revision	2027 Revision	2028 Revision
Financial Summary									
Total Orders	370	403	437	370	402	436	0%	0%	0%
Average Order Value	\$112	\$114	\$115	\$114	\$115	\$116	2%	1%	1%
Gross Transaction Value	\$41,582	\$45,760	\$50,195	\$42,251	\$46,110	\$50,523	2%	1%	1%
Y/Y % Growth	12%	10%	10%	14%	9%	10%	180 bps	(91)bps	(12)bps
Revenue	4,194	4,616	5,113	4,267	4,663	5,160	2%	1%	1%
Y/Y % Growth	12%	10%	11%	14%	9%	11%	195 bps	(77)bps	(13)bps
Take Rate	10.1%	10.1%	10.2%	10.1%	10.1%	10.2%	1 bps	3 bps	3 bps
Transaction Revenue	2,985	3,285	3,603	3,029	3,311	3,627	1%	1%	1%
Y/Y % Growth	12%	10%	10%	13%	9%	10%	166 bps	(77)bps	(12)bps
Take Rate	7.2%	7.2%	7.2%	7.2%	7.2%	7.2%	(1)bps	0 bps	0 bps
Ad Revenue	1,209	1,331	1,510	1,238	1,352	1,532	2%	2%	1%
Y/Y % Growth	14%	10%	13%	16%	9%	13%	267 bps	(76)bps	(16)bps
Take Rate	2.9%	2.9%	3.0%	2.9%	2.9%	3.0%	2 bps	3 bps	3 bps
Cost of Revenue	1,127	1,240	1,377	1,163	1,261	1,398	3%	2%	1%
Gross Profit	3,067	3,375	3,736	3,104	3,402	3,762	1%	1%	1%
Gross Profit Margin (%)	73.1%	73.1%	73.1%	72.7%	73.0%	72.9%	(39)bps	(17)bps	(15)bps
Adj. EBITDA	1,286	1,476	1,704	1,321	1,508	1,737	3%	2%	2%
Adj. EBITDA Margin	31%	32%	33%	31%	32%	34%	31 bps	36 bps	34 bps
Incremental Margins	5%	5%	5%	5%	5%	5%			

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: CART Results vs. Estimates

in \$ millions (ex EPS)	Actual vs. Estimate		
	2Q2026 Actual	2Q2026 Estimate	Variance Percent
Financial Summary			
Total Orders	90	91	(0.3%)
Y/Y % Growth	9%	10%	
Average Order Value	\$115	\$113	1.3%
Gross Transaction Value	\$10,351	\$10,252	1.0%
Y/Y % Growth	14%	13%	
Revenue	1,043	1,032	1.1%
Y/Y % Growth	14.1%	12.9%	—
Cost of Revenue	292	271	7.7%
Gross Profit	751	760	(1.2%)
Gross Profit Margin (%)	72.0%	73.7%	—
Operating Expenses (GAAP)			
Operations and Support	74.0	67.7	9.3%
Research and Development	202.0	183.4	10.2%
Sales and Marketing	233.0	234.9	(0.8%)
General and Administrative	98.0	108.4	(9.6%)
Total Operating Expenses	607	594	2.1%
Operating Income	144	166	(13.3%)
Operating Margin	13.8%	16.1%	—
Operating Expenses (Non GAAP)			
Operations and Support	68	63	8.6%
Research and Development	112	111	0.9%
Sales and Marketing	207	218	(5.0%)
General and Administrative	78	79	(1.3%)
Total Non GAAP Operating Expenses	465	471	(1.2%)
Adj. EBITDA	315	310	1.7%
Adj. EBITDA Margin	30.2%	30.0%	—

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: ABNB Results vs. Estimates

	Actual vs. Estimate		
	2Q2026 Actual	2Q2026 Estimate	Variance Absolute
Income Statement			
Nights and Experiences	148.3	145.7	2.6
% y/y growth	10%	8%	
Gross Bookings Value, Net	\$27,247	\$26,796	451.4
% y/y growth	16%	14%	
Net Revenue	\$3,608	\$3,638	(30.1)
% y/y growth	18%	18%	
% take rate	13.2%	13.6%	
Cost of Revenue	\$633	\$645	(11.7)
Gross Profit	\$2,975	\$2,993	(18.5)
% Gross Margin	82%	82%	
Operating Expenses			
(-) Operations and Support	\$323	\$324	(1.0)
(-) Research and Development	\$374	\$381	(7.0)
(-) Sales and Marketing	\$808	\$805	3.3
(-) General and Administrative	\$225	\$257	(32.0)
(-) SBC	\$410	\$410	0.0
Total Operating Expenses	\$2,140	\$2,177	(36.7)
GAAP EBIT	\$835	\$817	18.2
Adjusted EBITDA	\$1,261	\$1,249	12.2
Adjusted EBITDA Margin	35%	34%	
Pre Tax Income	\$897	\$864	32.8
Income Tax Provision (Benefit)	\$81	\$147	(65.9)
Net Earnings	\$816	\$717	98.7
Diluted EPS (GAAP)	\$1.37	\$1.19	0.2

Source: Company data, Morgan Stanley Research estimates

Exhibit 7: LYFT Results vs. Estimates:

in \$ millions (ex EPS)	Actual vs. Estimate			
	2Q2026 Actual	2Q2026 Estimate	Variance	
			Absolute	Percent
Financial Summary				
Bookings	5,504	5,360	144.3	2.7%
Y/Y % Growth	22.6%	19.4%	321 bp	—
Trips	262	259	3.8	1.5%
Y/Y % Growth	12%	10%	163 bp	—
Active Riders	30.5	31.0	(0.45)	(1.5%)
Revenue per Active Rider	\$60.4	\$57.8	2.7	4.6%
Revenue	1,844	1,789	54.9	3.1%
Y/Y % Growth	16.1%	12.6%	346 bp	—
Cost of Revenue	926	1001	(74.2)	(7.4%)
Gross Profit	917	788	129.1	16.4%
Operating Expenses				
Operations & Support (ex-SBC)	125.7	132.1	(6.4)	(4.8%)
Research & Development (ex-SBC)	84.4	82.8	1.6	1.9%
Sales and Marketing (ex-SBC)	316.1	223.5	92.6	41.4%
General and Administrative (ex-SBC)	273.4	215.6	57.8	26.8%
Stocked Based Compensation	69.9	82.0	(12.1)	(14.7%)
Total Operating Expenses	870	736	133.6	18.2%
Adj. EBITDA	177	176	1.4	0.8%
Adj. EBITDA Margin	3.2%	3.3%		(6) bp

Source: Company data, Morgan Stanley Research estimates

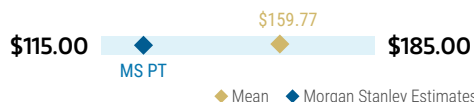
Risk Reward – Airbnb Inc (ABNB.O)

ABNB Risk Reward

PRICE TARGET \$125.00

Our \$125 PT is driven by a ~22X P/E multiple on our '27/'28 average EPS estimate of ~\$6, and implies ~12X our '27 Adj. EBITDA. ABNB currently trades at a >100% premium to BKNG on a growth adjusted basis, despite BKNG growing Adj. EBITDA and EPS faster than ABNB. Our PT implies this premium narrows to ~85%.

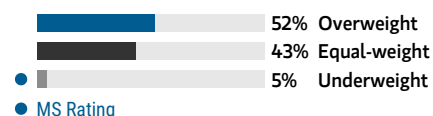
Consensus Price Target Distribution



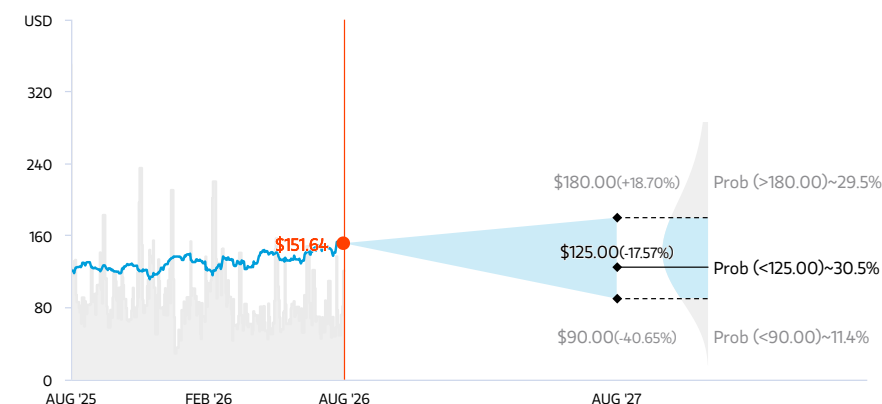
UNDERWEIGHT THESIS

■ ABNB is a unique travel platform, but forward growth is predicated on investment into expansion markets which we see carrying higher execution risk and competition.

Consensus Rating Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 6 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$180.00

~25X Bull Case '27/'28 avg EPS of ~\$7.2

Our Bull case is derived from a DCF with higher Revenue and EBITDA margin assumptions than in our base case.

BASE CASE

\$125.00

~22X Base Case '27/'28 avg EPS of ~\$5.7

Our \$125 PT is driven by a ~22X P/E multiple on our '27/'28 average EPS estimate of \$5.66, and implies ~12X our '27 Adj. EBITDA.

BEAR CASE

\$90.00

~20X Bear Case '27/'28 avg EPS of ~\$4.5

Our Bear case is derived from a DCF with lower Revenue and EBITDA margin assumptions than in our base case.

Risk Reward – Airbnb Inc (ABNB.O)

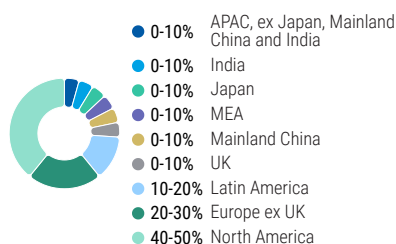
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gross Bookings Y/Y % Growth (%)	11.6	13.6	7.5	7.2
Revenue (\$, mm)	12,241	13,962	14,987	16,082
EBITDA (\$, mm)	4,227	4,890	5,268	5,686

INVESTMENT DRIVERS

- Nights and experiences booked
- Average Daily Rates
- Revenue Take Rate
- EBITDA/FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster global active listings growth or higher nights available to be booked per active listing
- A take rate increase through an increase in the fees or a pay for placement advertising model

RISKS TO DOWNSIDE

- Lack of quality supply constrains ABNB's nights growth
- ADRs mean revert closer to pre-pandemic levels
- Greater than expected competition from OTAs in the alt accommodation space increase ad intensity

OWNERSHIP POSITIONING

Inst. Owners, % Active	52.9%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	11.1%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (\$, mm)	13,728	13,962	14,124
		13,957	

EBITDA (\$, mm)	4,847	4,890	5,037
		4,946	

EPS (\$)	3.98	4.85	5.76
		5.08	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Instacart (CART.O)

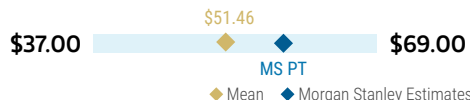
Instacart Risk Reward

PRICE TARGET \$58.00

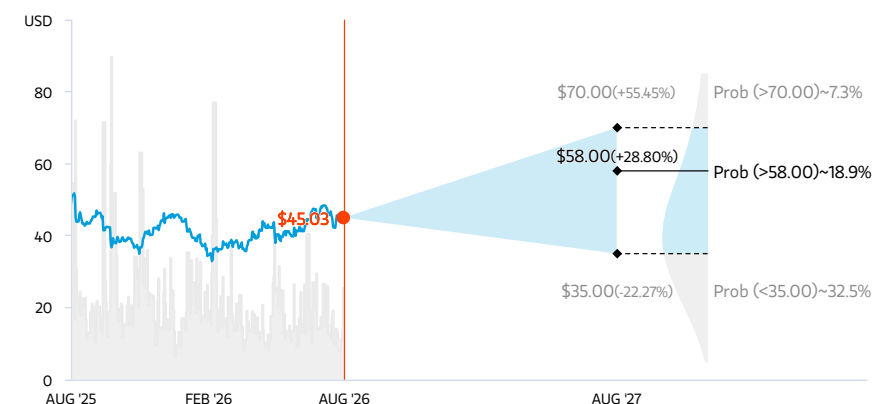
Our \$58 price target is based on an ~8X multiple on '27/'28 average Adj. EBITDA of \$1.6bn, and implies ~18X our '27 EPS. On a growth-adjusted basis, our PT implies CART trades at a ~0.6X growth adj. EBITDA multiple, a ~30% discount to CART's peer median growth adjusted multiples and in-line with subscale marketplace peers EXPE/LYFT.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 6 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$70.00

~9x '27/'28 Bull EBITDA; ~20X '27 Bull Case EPS

Our Bull case is derived from lower Revenue and EBITDA margin assumptions than in our base case.

BASE CASE

\$58.00

~8x EV/Avg '27/'28 EBITDA; ~18X '27 P/E

Our \$58 price target is based on an ~8X multiple on '27/'28 average Adj. EBITDA of \$1.6bn, and implies ~18X our '27 EPS.

BEAR CASE

\$35.00

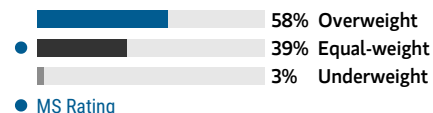
~5x '27/'28 Bear EBITDA; ~13X '27 Bear Case EPS

Our Bear case is derived from lower Revenue and EBITDA margin assumptions than in our base case.

EQUAL-WEIGHT THESIS

- Instacart is competing for share within the \$1.8trn US Grocery market, the largest remaining bucket of offline consumer spend. The market is underpenetrated, with only ~11% of the market currently online.
- However the market is highly competitive, with multiple scaled, well capitalized businesses competing for share. In light of these competitive dynamics, CART's recent customer cohort behavior raises concerns around forward growth and share loss, with spend from new and existing cohorts declining.
- That said, CART does benefit from underlying positive mix shift to its ad business, and this, combined with a fair market valuation leave us EW. We will monitor developments around customer spend.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Instacart (CART.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gross Transaction Value (\$, mm)	37,225	42,251	46,110	50,523
Take Rate (%)	10	10	10	10
EBITDA (\$, mm)	1,088	1,321	1,508	1,737

INVESTMENT DRIVERS

- Higher than expected GTV/Revenue growth driven by inflecting cohort behavior
- Better than Expected Logistics efficiency Drives Scaling Transaction Take Rate
- Incremental Capital Returns

GLOBAL REVENUE EXPOSURE



● 100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster GOV Growth Driven By Inflecting Cohort Behavior
- Better than Expected Logistics Efficiency Drives Scaling Transaction Take Rate
- Incremental Capital Returns

RISKS TO DOWNSIDE

- Slower Shift in Grocery Spend from Offline to Online
- Advertising Mix Shift Slower Than Expected
- New Investment Opportunities Weigh on Profitability

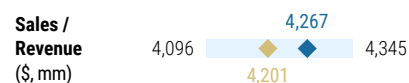
OWNERSHIP POSITIONING

Inst. Owners, % Active	61.3%	
HF Sector Long/Short Ratio	0.9x	
HF Sector Net Exposure	-0.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Lyft Inc (LYFT.O)

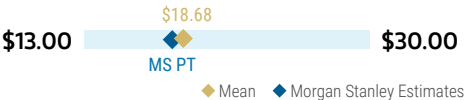
LYFT Risk Reward

PRICE TARGET \$18.00

Our price target is based on a target EV/EBITDA multiple of ~7X of our '27/'28 average Adj. EBITDA. Our target multiple implies LYFT is valued in-line with other subscale internet marketplace peers EXPE and CART.

Consensus Price Target Distribution

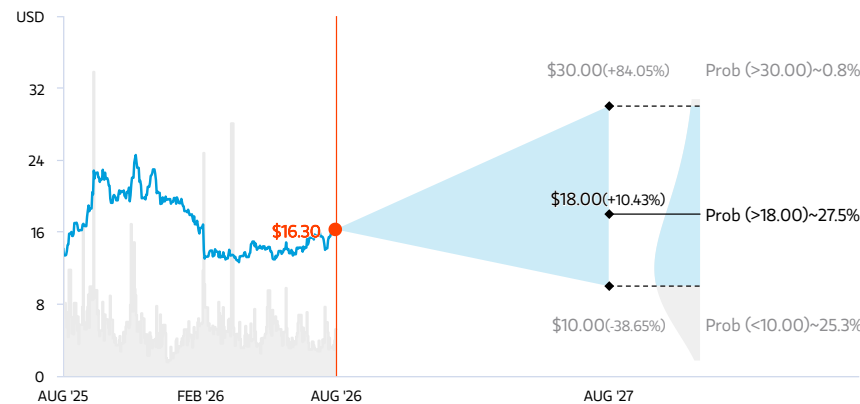
Source: Refinitiv, Morgan Stanley Research



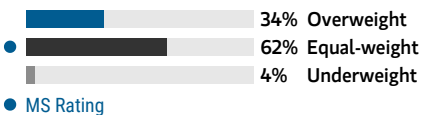
EQUAL-WEIGHT THESIS

LYFT's analyst day showed the path toward more durable multi-year rides growth and better profitability. It also laid out a material advertising opportunity, which carries higher execution risk. While we have a positive skew, we struggle to push our target multiple higher until we see evidence of execution on the Ads side, or higher profitability excluding Ads.

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 6 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE	\$30.00	BASE CASE	\$18.00	BEAR CASE	\$10.00
~10x Bull Case avg '27/'28 Adj. EBITDA		~7x Base Case avg '27/'28 Adj. EBITDA		~4x Bear Case avg '27/'28 Adj. EBITDA	
Our Bull case is derived from higher revenue and adj. EBITDA assumptions than in our base case.		Our price target is based on a target EV/EBITDA multiple of ~7X our '27/'28 average Adj. EBITDA.		Our Bear case is derived from lower revenue and adj. EBITDA assumptions than in our base case.	

Risk Reward – Lyft Inc (LYFT.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Active Riders (Period End) (mm)	29.2	31.5	33.4	35.1
Revenue (\$, mm)	6,316	7,234	8,093	8,745
(-) Adjusted EBITDA (\$, mm)	529	684	835	940

INVESTMENT DRIVERS

- Bookings
- Revenue
- EBITDA
- FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected Gross Bookings Growth
- Higher than expected Incremental EBITDA margins ex-ads as a percent of Gross Bookings

RISKS TO DOWNSIDE

- Slower than expected Gross Bookings Growth
- Lower than expected Incremental EBITDA margins as a percent of Gross Bookings
- Mis-execution on '27 Ad Gross Bookings targets
- Regulation

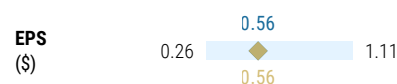
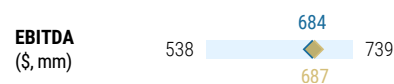
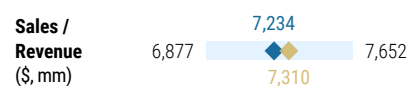
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.8%	
HF Sector Long/Short Ratio	1.4x	
HF Sector Net Exposure	8.8%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 8: CART Income Statement

Morgan Stanley Instacart Model (USD millions)	2025	2026	2027	2028	'25-'28 CAGR
Income Statement					
Revenue	3,742	4,267	4,663	5,160	11%
(-) Cost of Revenue	984	1,163	1,261	1,398	
(=) Gross Profit (GAAP)	2,759	3,104	3,402	3,762	11%
(-) Operations and Support	274	289	293	301	
(-) Sales and Marketing	854	941	1,011	1,096	
(-) Research and Development	649	747	793	844	
(-) General and Administrative	483	387	419	451	
(=) Total Operating Expenses	\$2,260	\$2,364	\$2,517	\$2,693	
Total Opex & Cost of Revenue	3,243	3,527	3,778	4,091	
Operating Income (GAAP)	\$499	\$740	\$885	\$1,069	
(+) Other Income, Net	0	(1)	0	0	
(+) Interest Income	57	25	28	22	
(-) Interest Expense	0	0	0	0	
(=) Pre-tax Income	\$556	\$764	\$913	\$1,091	
(-) Income Tax Provision (Benefit)	109	170	192	229	
Tax Rate	19.6%	22.2%	21.0%	21.0%	
Net Earnings	\$447	\$594	\$721	\$862	24%
Undistributed Earnings Attributable to Preferred Shareholders	4	4	0	0	
Net Earnings Attributable to Common Stockholders	\$443	\$590	\$721	\$862	
Basic EPS (GAAP)	\$1.69	\$2.57	\$3.46	\$4.41	
Diluted EPS (GAAP)	\$1.60	\$2.46	\$3.31	\$4.10	37%
Basic Weighted Average Shares	261.4	229.2	208.6	195.6	(9%)
Diluted Weighted Average Shares (EPS)	276.7	239.9	217.9	210.1	(9%)
Reconciliation to Adj. EBITDA					
Net Income	447.0	594.2	721.4	861.8	
(+) Provision for (benefit from) Income Taxes	109.0	169.9	191.8	229.1	
(+) Interest Income	(57.0)	(25.2)	(27.8)	(21.7)	
(+) Interest Expense	0.0	0.0	0.0	0.0	
(+) Other Income (expense), net	0.0	1.0	0.0	0.0	
(+) Depreciation & Amortization	92.0	116.5	114.7	114.2	
(+) Stock-Based Compensation	351.0	448.0	483.9	530.1	
(+) Certain Payroll Taxes Related to Stock-based Compensation	21.0	24.0	24.0	24.0	
(+) Certain Legal and Regulatory Accruals and Settlements	126.0	(12.0)	0.0	0.0	
(+) Reserves for Sales and Other Indirect Taxes	(3.0)	1.0	0.0	0.0	
(+) COVID-19 Response Initiatives	0.0	0.0	0.0	0.0	
(+) Acquisition Related Expenses	1	4	0	0	
(+) Other	1.0	0.0	0.0	0.0	
(=) Adjusted EBITDA	1,088.0	1,321.4	1,507.9	1,737.4	17%
Adjusted EBITDA Margin (% of Revenue)	29%	31%	32%	34%	
Incremental Margin	56%	44%	47%	46%	
Adjusted EBITDA Margin (% of GTV)	2.9%	3.1%	3.3%	3.4%	
Incremental Margin	5%	5%	5%	5%	

Source: Company data, Morgan Stanley Research estimates

Exhibit 9: CART Balance Sheet

Morgan Stanley Instacart Model (USD millions)				
	2025	2026	2027	2028
Balance Sheet				
Cash and Cash Equivalents	637	563	724	1,102
Short Term Marketable Securities	50	93	93	93
Accounts Receivable, Net of Allowance	1,127	1,107	1,209	1,354
Restricted Cash and Cash Equivalents	172	117	117	117
Prepaid Expenses and Other Current Assets	213	212	223	242
Total Current Assets	2,199	2,093	2,366	2,908
Long-term Marketable Securities	81	35	35	35
Restricted Cash and Cash Equivalents, noncurrent	18	0	0	0
Property and Equipment, net	218	198	153	119
Operating Lease Right-of-Use Assets	30	27	27	27
Intangible Assets, net	71	66	66	66
Goodwill	393	412	412	412
Deferred tax assets, net	664	596	596	596
Other Assets	14	39	39	39
Total Assets	3,688	3,466	3,694	4,201
Accounts Payable	70	45	16	50
Accrued and Other Current Liabilities	634	631	665	719
Operating Lease Liabilities, Current	3	3	3	3
Deferred Revenue	211	239	257	285
Other Current Liabilities	0	1	1	1
Total Current Liabilities	918	920	942	1,058
Operating Lease Liabilities	33	31	31	31
Other Long-term Liabilities	24	27	27	27
Total Liabilities	975	978	1,000	1,116
Redeemable Convertible Preferred Stock	0	0	0	0
Series A Redeemable Convertible Preferred Stock	196	200	200	200
Common Stock	0	0	0	0
Exchangeable Shares	(1)	0	0	0
Additional Paid-in Capital	7,005	6,916	6,400	5,930
Accumulated Other Comprehensive Loss	(1)	(7)	(7)	(7)
Accumulated Deficit	(4,486)	(4,621)	(3,899)	(3,038)
Total Stockholder's Equity (Deficit)	2,517	2,288	2,494	2,885
Total Liabilities and Shareholder Equity	3,688	3,466	3,694	4,201

Source: Company data, Morgan Stanley Research estimates

Exhibit 10: CART Cash Flow Statement

Morgan Stanley Instacart Model (USD millions)				
	2025	2026	2027	2028
Cash Flow Statement				
Operating Cash Flow:				
Net Earnings (Loss)	447	594	721	862
Depreciation & Amortization	92	116	115	114
Stock-Based Compensation	351	448	484	530
Amortization of Non-voting Common Stock Warrants	0	0	0	0
Amortization and Remeasurement of Non-voting Common Stock Issuable Pursuant to Subs	0	0	0	0
Provision for Bad Debts	14	6	0	0
Amortization of Operating Lease Right-of-Use Assets	8	5	7	7
Deferred Income Taxes	98	67	0	0
Other	23	6	(7)	(7)
Changes in Working Capital:	(60)	(39)	(90)	(48)
Accounts Receivable, Net	(121)	13	(101)	(145.2)
Prepaid Expenses and Other Assets	(29)	(21)	(11)	(18.1)
Accounts Payable	(12)	(25)	(29)	34
Accrued and Other Current Liabilities	100	(33)	34	54
Deferred Revenue	10	27	18	27
Operating Lease Liabilities	(7)	(1)	0	0
Other Long-term Liabilities	(1)	1	0	0.0
Net Cash Provided by Operating Activities	973	1,204	1,230	1,459
Investing Cash Flow:				
Purchases of Marketable Securities	(281)	(13)	0	0
Sale of Marketable Securities	0	0	0	0
Maturities of Marketable Securities	244	15	0	0
Purchases of Property and Equipment, including Capitalized Internal-use Software	(61)	(62)	(70)	(80)
Purchase of Patents	(2)	0	0	0
Acquisitions of Businesses, Net of Cash Acquired	(109)	(29)	0	0
Net Cash Used in Investing Activities	(209)	(89)	(70)	(80)
Financing Cash Flow:				
Proceeds from the Issuance of Common Stock upon IPO, net of underwriting discounts	0	0	0	0
Proceeds from Issuance of Series A redeemable convertible preferred stock	0	0	0	0
Taxes Paid Related to Net Share Settlement of Equity Awards	(24)	(8)	0	0
Proceeds from Exercise of Stock Options	8	4	0	0
Proceeds from Issuance of Redeemable Convertible Preferred Stock, Net of Issuance Cost	0	0	0	0
Proceeds from Exercise of Non-voting Common Stock Warrants	0	0	0	0
Proceeds from Modification of Non-voting Common Stock	0	0	0	0
Proceeds from the Issuance of Non-voting Common Stock	0	0	0	0
Changes on Advances from Payment Card Issuer	11	34	0	0
Repurchases of Common Stock	(1,386)	(1,283)	(1,000)	(1,000)
Other Financing Activities	0	(2)	0	0
Net Cash Used in Financing Activities	(1,391)	(1,255)	(1,000)	(1,000)
Effect of FX Changes on Cash and Cash Equivalents	5	(4)	0	0
Restatements/Adjustments	0	(2)	0	0
Net Increase in Cash and Cash Equivalents	(622)	(147)	160	379
Cash and Cash Equivalents at Beginning of Period (incl. Restricted Cash)	1,449	827	680	841
Cash and Cash Equivalents at End of Period (incl. Restricted Cash)	827	680	841	1,219
Restricted Cash	190	117	117	117
Cash and Cash Equivalents at End of Period (ex Restricted Cash)	637	563	724	1,102

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Airbnb Inc (ABNB.O) - As of 08/07/26 GMT in USD
Industry : Internet



Stock Rating History: 8/1/21 : E/I; 12/6/22 : U/I; 10/22/23 : U/A

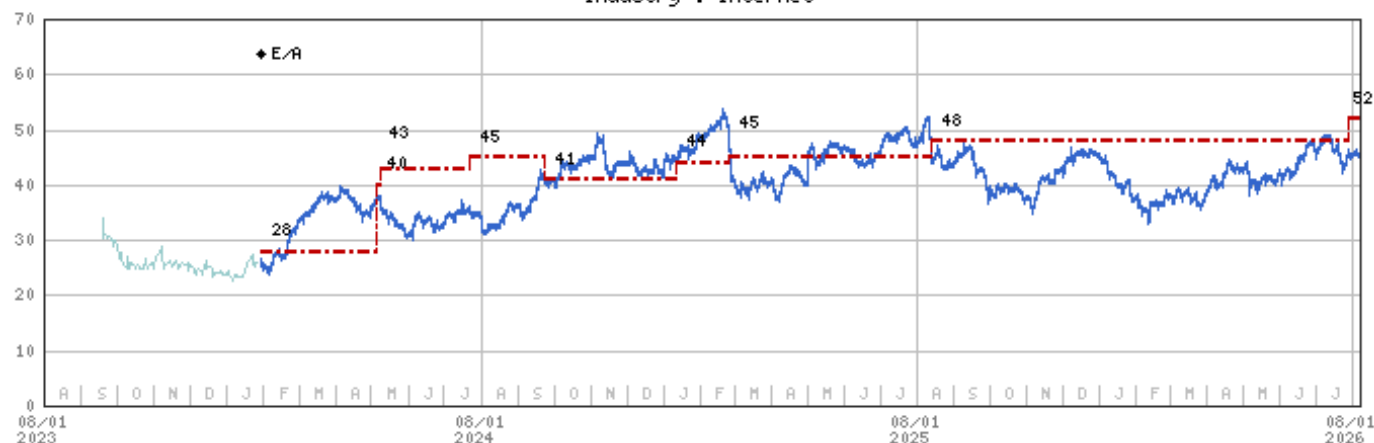
Price Target History: 5/20/21 : 125; 8/16/21 : 140; 11/16/21 : 190; 1/19/22 : 160; 2/16/22 : 175; 5/4/22 : 145; 6/22/22 : 100; 8/22/22 : 125; 10/23/22 : 105; 11/2/22 : 110; 12/6/22 : 80; 2/15/23 : 100; 5/10/23 : 95; 7/20/23 : 100; 8/17/23 : 110; 11/2/23 : 105; 2/14/24 : 120; 7/22/24 : 130; 8/7/24 : 115; 1/12/25 : 125; 4/16/25 : 130; 5/12/25 : 125; 7/20/25 : 130; 8/7/25 : 120; 1/12/26 : 130; 2/13/26 : 120; 7/29/26 : 125

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Instacart (CART.O) - As of 08/07/26 GMT in USD
Industry : Internet



Stock Rating History: 1/29/24 : E/A

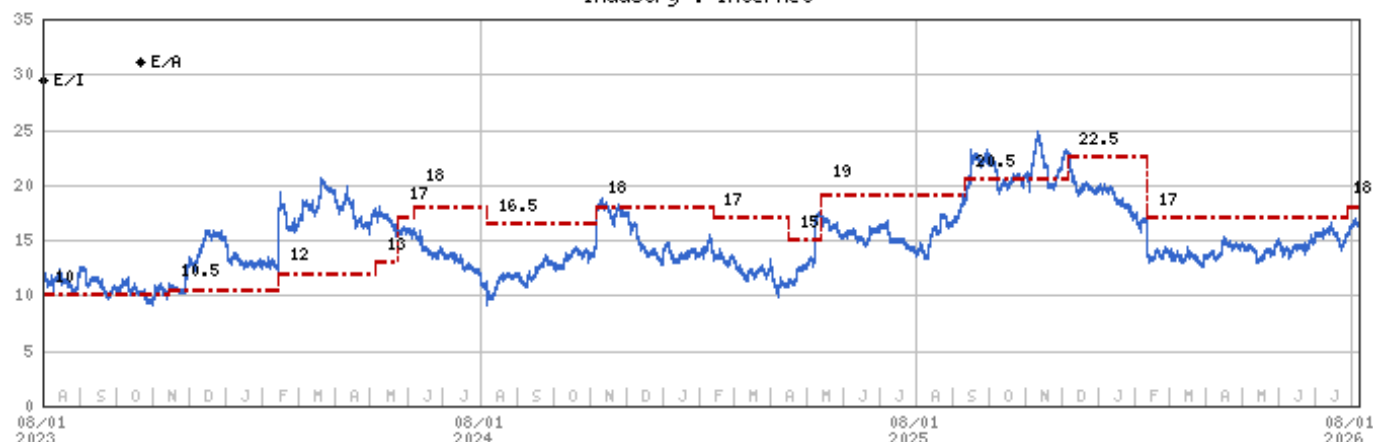
Price Target History: 1/29/24 : 28; 5/5/24 : 40; 5/8/24 : 43; 7/22/24 : 45; 9/23/24 : 41; 1/12/25 : 44; 2/25/25 : 45; 8/14/25 : 48; 7/29/26 : 52

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Lyft Inc (LYFT.O) - As of 08/07/26 GMT in USD
Industry : Internet



Stock Rating History: 8/1/21 : E/I; 10/22/23 : E/A

Price Target History: 5/5/21 : 70; 8/4/21 : 72; 11/3/21 : 67; 2/9/22 : 64; 5/5/22 : 40; 10/2/22 : 24; 11/8/22 : 23; 1/17/23 : 17; 2/10/23 : 11; 5/17/23 : 10; 11/14/23 : 10.5; 2/14/24 : 12; 5/5/24 : 13; 5/24/24 : 17; 6/6/24 : 18; 8/7/24 : 16.5; 11/7/24 : 18; 2/12/25 : 17; 4/16/25 : 15; 5/13/25 : 19; 9/11/25 : 20.5; 12/7/25 : 22.5; 2/11/26 : 17; 7/29/26 : 18

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	\$151.64
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	\$357.75
Amazon.com Inc (AMZN.O)	O (04/24/2015)	\$272.26
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	\$207.39
DoorDash Inc (DASH.O)	O (02/21/2024)	\$213.26
Expedia Inc. (EXPE.O)	E (01/09/2019)	\$306.57
Instacart (CART.O)	E (01/29/2024)	\$45.03
Lyft Inc (LYFT.O)	E (10/24/2019)	\$16.30
Meta Platforms Inc (META.O)	O (03/20/2023)	\$589.90
Pinterest Inc (PINS.N)	O (07/20/2025)	\$23.33
Reddit Inc (RDDT.N)	O (12/08/2024)	\$150.87
Snap Inc. (SNAP.N)	E (07/22/2024)	\$5.22
Uber Technologies Inc (UBER.N)	++	\$70.47
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	\$335.67
Compass, Inc. (COMP.N)	E (01/12/2026)	\$12.58
Criteo SA (CRTL.O)	E (01/26/2016)	\$17.58
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	\$11.71
Electronic Arts Inc (EA.O)	E (08/04/2021)	\$209.70
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	\$23.33
MNTN Inc (MNTN.N)	E (06/16/2025)	\$10.99
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	\$3.45
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	\$3.29
Roblox Corporation (RBLX.N)	O (11/04/2024)	\$36.04
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	\$232.47
Trade Desk Inc (TTD.O)	E (09/10/2025)	\$17.67
Unity Software Inc (U.N)	O (09/02/2024)	\$40.81
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	\$8.71

Yelp Inc (YELP.N)	U (01/10/2019)	\$25.04
Zillow Group Inc (Z.O)	E (04/18/2018)	\$33.43
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	\$2.85
Chewy Inc (CHWY.N)	O (10/31/2023)	\$23.43
Duolingo Inc (DUOL.O)	E (02/27/2026)	\$122.58
eBay Inc (EBAY.O)	O (04/18/2024)	\$110.14
Etsy Inc (ETSY.N)	E (07/20/2025)	\$82.26
FIGS, Inc. (FIGS.N)	E (02/29/2024)	\$11.24
Grindr Inc. (GRND.N)	O (07/01/2026)	\$17.15
Match Group Inc (MTCH.O)	E (04/18/2024)	\$36.61
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	\$5.51
Revolve Group Inc (RVLV.N)	E (10/20/2024)	\$24.63
WW International Inc (WW.O)	E (08/01/2025)	\$16.88

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* Historical prices are not split adjusted.